

ETHIOPIAN PAY-LATER PLATFORM

Business Proposal & Market Opportunity

Ethiopia-designed • Addis Ababa-first

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Document Control

Version	Date	Prepared By	Status	Summary
1.0	21 August 2026	Eleanor Tefera	Working baseline	Initial researched package release

Research Status Legend

VERIFIED	Directly supported by an official/primary source.
REPORTED	Supported by a reputable third-party source.
INFERENCE	Reasonable conclusion from available evidence.
ASSUMPTION	Design assumption for planning; not presented as market fact.
REQUIRES CONFIRMATION	Needs provider, bank, NBE, legal or business-partner confirmation.

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1. Executive Summary

The proposed business is an Addis Ababa-first Pay-Later platform designed to let eligible customers buy approved goods or services today and repay over an agreed schedule, while participating merchants are paid according to the selected settlement model. The opportunity is not to claim that Ethiopia has no BNPL or digital credit. Ethiopia already has mobile money, payment gateways, bank credit and emerging installment/BNPL offers. The opportunity is to connect these capabilities into a merchant-inclusive, multi-sector experience that can serve both formal large retailers and small local merchants.

Core positioning: do not replace Telebirr, CBE Birr, M-PESA Ethiopia, banks or gateways. Use approved payment rails while the Pay-Later platform manages eligibility, purchases, installment obligations, merchant participation and customer experience.

2. What BNPL Means

Buy Now, Pay Later (BNPL) is a form of short-term purchase financing. An eligible customer receives the product or service now, but pays the purchase amount in scheduled parts. Depending on the legal/business model, the BNPL provider or a licensed financial partner funds/owns the credit exposure. The merchant generally seeks predictable settlement instead of personally chasing the customer for future installments.

Example	Amount
Product price	20,000 ETB
First payment (illustrative 25%)	5,000 ETB
Financed outstanding	15,000 ETB
Three later installments	5,000 ETB each

The percentages above are an ASSUMPTION for product illustration. They are not an Ethiopian regulatory requirement.

3. How BNPL Works

1. Customer identifies a participating merchant and purchase.
2. Platform verifies identity/KYC status and checks eligibility.
3. The purchase itself is assessed, having a limit does not guarantee approval of every transaction.
4. Customer sees the first payment, financed amount, due dates, fees (if lawful) and total payable.
5. If a first payment is required, financing/merchant release waits for confirmed SUCCESS.
6. Merchant is settled according to the agreed model.
7. Customer repays future installments using supported Ethiopian payment channels.
8. Repayment performance becomes part of the customer's internal history and future eligibility review.

4. Global BNPL Industry

Provider	Model / Lesson	What Ethiopia Should Learn
Klarna	Multiple options including pay in 3/4, pay later and financing; online/in-store.	One customer relationship can support different payment plans, but product breadth should follow risk maturity.
Affirm	Merchant receives settlement; Affirm handles customer repayment/risk; short and longer-term plans.	Separate merchant sale experience from customer credit servicing.
Afterpay	Simple Pay-in-4; online/in-store; missed payments restrict future use.	Simple plans and disciplined access controls can be easier to understand.
PayPal Pay Later	Pay in 4 plus longer monthly plans; merchant paid up front in its model.	Embed flexibility into an existing payment relationship; keep disclosures clear.

Zip	Pay in 4 online/in-store; US lending originated by a partner bank in the cited model.	A technology/customer layer can coexist with a separate regulated credit provider.
Tabby / Tamara	GCC-focused flexible payments across merchant channels.	Strong merchant distribution and local payment/customer adaptation matter as much as the installment schedule.

5. Qatar BNPL Market

Qatar is useful as a reference because QCB has a dedicated BNPL regulation and the market includes fintech BNPL, bank-card installment schemes and merchant/device partnerships. Qatar regulation is not Ethiopian law; its value here is to show how customer eligibility, merchant acceptance, short-term installments, risk and disclosure can be organized in a mature regulated context.

6. Qatar PayLater Case Study

The client-provided PayLater terms describe a three-party BNPL transaction involving customer, merchant and PayLater. The documented product includes eligibility assessment, online/offline merchants, a 25% first installment, scheduled later payments, spending limits, payment reminders, PayMore (higher upfront payment), refunds/disputes, overdue rules and restructuring. The official help centre also documents QID capture, OTP and liveness during signup. These are functional reference points not rules to copy into Ethiopia.

Qatar PayLater Reference	Why It Works	Ethiopian Adaptation
QID + liveness	Strong identity baseline before credit	Use Ethiopian KYC and potential Fayda/approved identity services only if available and lawful.
25% first payment	Reduces financed exposure and creates immediate commitment	Support configurable first payment; do not hard-code 25% as Ethiopian law.
Dynamic credit limit	Exposure changes with risk/history	Approved/available/reserved/restricted limits with documented decisions.
PayMore	Higher upfront payment reduces financed balance	Flexible down payment / alternative offer for customers who should not receive full requested financing.
Online + in-store	Merchant reach is not limited to e-commerce	Add merchant app, Quick Sale and QR for Ethiopian small shops.
Card-based scheduled charges	Convenient repeat collection	Use mobile money/bank/gateway channels only where mandate/auto-pay support is confirmed.

7. Tabby, Tamara and Other Qatar/GCC Models

Tabby and Tamara demonstrate the importance of merchant distribution, online/in-person checkout and simple installment choices across GCC markets. Commercial Bank Qatar and Vodafone Qatar demonstrate a different model: a bank-card installment product distributed through a merchant/device partner. The lesson is that BNPL can be a standalone fintech product, a bank credit feature, or a merchant-bank partnership; the Ethiopian legal/funding structure should be chosen deliberately.

8. Ethiopian Digital Payment Market

VERIFIED: NBE's current register lists commercialized payment instrument issuers including Telebirr, Kacha and M-PESA Ethiopia, and commercialized operators such as EthSwitch, ArifPay, Chapa and SantimPay. This means the proposed platform can be designed to sit above existing rails rather than build a closed wallet by default.

9. Ethiopian BNPL and Credit Market

The market is not empty. Publicly visible Ethiopian products and prior research show overlapping offers such as smartphone/device financing, digital credit, merchant installment products and fintech BNPL claims. The exact current scale,

funding structure and merchant coverage of individual competitors must be confirmed during commercial due diligence. The project should never market itself as “Ethiopia’s first BNPL” without conclusive evidence.

10. Existing Competitors

Category	Examples / Status	Competitive Meaning
Direct / adjacent BNPL	CreditPay, Be’Jae and publicly advertised credit/BNPL products require current commercial due diligence.	Our differentiation cannot be “installments exist.”
Mobile money	Telebirr, M-PESA Ethiopia, Kacha.	They solve movement/storage/payment of money; they are potential rails/partners, not automatically BNPL competitors.
Banks / card installments	Bank loans, salary loans and merchant/card installment products.	Trusted funding and underwriting alternatives; often less universal across small local merchants.
Payment gateways	Chapa, ArifPay, SantimPay and others listed by NBE.	Potential unified payment access; not substitutes for credit eligibility/installment servicing.
Informal merchant credit	Store-owner trust, family/friend borrowing, delayed payment.	Shows a need for flexibility but creates collection and relationship risk for merchants.

11. Market Problem

- Some customers cannot comfortably pay a full large purchase immediately.
- Merchants may lose a sale or take personal credit risk when offering informal installments.
- Small businesses may lack websites, POS integrations or lending processes.
- Payment methods can move money without providing a unified installment agreement, eligibility decision and repayment history.
- Consumers need transparent schedules and responsible limits, not uncontrolled debt.

12. Market Opportunity

The credible gap is a cross-merchant Pay-Later layer that combines responsible eligibility, simple merchant acceptance, multiple approved repayment channels, and one customer view of obligations. Addis Ababa is a practical pilot because it concentrates formal retailers, digital-payment usage, small shops and operational support capacity.

13. Proposed Product

An Ethiopian Pay-Later and installment platform connecting customers, large and small merchants, a regulated credit/funding arrangement and approved payment services. Customers apply once, receive a responsible eligibility outcome, and use approved plans at participating merchants. Merchants can participate through enterprise connections or a simple merchant app/QR/Quick Sale.

14. Customer Experience

Register → KYC → eligibility → view available amount → select merchant/purchase → choose offer → pay required first installment → receive schedule → repay and track history.

15. Merchant Experience

Verify business → create branch/staff → create sale or accept integrated checkout → receive approval/release result → deliver goods/service → track settlement/refunds/reports.

16. Small-Business Experience

A merchant without a POS can enter only description, amount and customer/QR. The platform handles eligibility and confirmation.

17. Teff Seller Example

50kg Teff, 8,000 ETB: merchant creates Quick Sale; customer confirms; platform assesses eligibility; customer may receive a plan with required first payment; only confirmed approval/payment leads to merchant release and settlement.

18. Supermarket Example

15,000 ETB household purchase: merchant POS or staff creates transaction; customer sees eligible plan; transaction-level risk can still decline/restrict the purchase despite an overall limit.

19. Electronics Example

40,000 ETB phone: higher-value purchase may require stronger eligibility, higher down payment or manual review rather than simply using the customer's maximum limit.

20. Payment Options

- ✓ **VERIFIED:** Telebirr publishes business/developer payment documentation including C2B and scheduled-payment capabilities. Use in this BNPL product still requires the correct merchant/partner arrangement.
- ✓ **VERIFIED:** CBE Birr supports goods purchases and bill payments; a comparable public direct BNPL API/sandbox was not verified in this research.
- ✓ **VERIFIED:** M-PESA Ethiopia supports merchant payments/business arrangements; exact BNPL integration and sandbox onboarding require provider confirmation.
- ✓ **INFERENCE:** A licensed payment gateway can reduce MVP integration effort, while provider-independent design preserves the option for direct integrations later.

21. Customer Benefits

- Earlier access to approved goods/services without full immediate cash outlay.
- Predictable installment schedule and clear reminders.
- One place to track purchases and obligations across supported payment rails.
- Ability to build a verified internal repayment history.
- Responsible limits and alternative offers instead of automatic high exposure.

22. Merchant Benefits

- Potentially convert customers who cannot pay the full amount immediately.
- Avoid personally administering informal credit under the partner-funded model.
- Quick Sale/QR for small businesses; enterprise connection for large retailers.
- Traceable transaction, refund and settlement records.
- Potential access to a broader customer pool subject to responsible approval.

23. Business Model

Revenue/Cost Item	Status	Approach
Merchant service fee	POSSIBLE	Charge participating merchant per successful financed sale under agreement.
Merchant subscription / premium tools	POSSIBLE	Advanced analytics, multi-branch tools or enterprise service.
Credit/servicing partner revenue	REQUIRES CONFIRMATION	Technology/origination/servicing arrangement if legally and contractually permitted.
Customer financing/service fee	REQUIRES CONFIRMATION	Do not enable until legal/product approval and transparent disclosure.
Late fee / collection charge	REQUIRES CONFIRMATION	Do not enable until legal/product approval and transparent disclosure.
Payment processing cost	ASSUMPTION	Provider/gateway cost to be negotiated and modeled per channel.

24. Competitive Advantage

- Small-merchant acceptance without a sophisticated POS or website.
- Provider-independent repayment design rather than forcing a new closed wallet.
- One customer installment history across participating merchants.
- Transaction-level risk, not only a static spending limit.
- Flexible down-payment/offer design that can reduce exposure instead of only approving or declining.
- Large-retailer integration plus Quick Sale/QR in one merchant network.
- Ethiopia-specific KYC, consumer protection, ETB and connectivity assumptions.

25. Risks

Risk	Mitigation
Customer default	Conservative first-time exposure, affordability/risk rules, partner underwriting, limits and overdue controls.
Fraud/collusion	KYC/KYB, device/identity linkage, transaction/merchant monitoring, settlement controls.
Regulatory mismatch	Phase-0 legal/NBE validation; configurable creditor/funder model.
Provider outage	Pending/unknown state, reconciliation, alternate supported channels.
Merchant disputes/refunds	Evidence workflow, settlement adjustments and immutable records.
Over-borrowing	Total exposure controls, clear disclosure, responsible limit graduation and hardship support.
Competition	Focus on distribution, merchant usability and payment compatibility rather than claiming first-mover status.

26. Regulatory Considerations

Ethiopian payment, personal-data, consumer-protection, KYC/AML, credit ownership, collections and funding rules control the real product. The exact entity that lends, owns the receivable, carries loss, reports credit information and holds/transmits funds must be confirmed before production.

27. Addis Ababa Launch

- Controlled merchant cohort, not national open launch.
- One credit/funding partner model locked before live credit.
- One gateway/primary payment route plus alternative payment method as feasible.
- Conservative first-time limits and limited plan catalogue.
- Daily reconciliation and risk/complaint review during pilot.

- Strong support capability for customers and merchants.

28. Expansion Strategy

Expand only after evidence: more merchants → more categories → additional payment integrations → improved risk policy → regional cities → broader national reach. Each expansion should be gated by repayment, fraud, support and operational data.

29. Long-Term Vision

A broader Ethiopian commerce and installment ecosystem where consumers can responsibly manage approved obligations, merchants of different sizes can offer flexible purchasing, and regulated financial/payment partners gain a controlled distribution and servicing layer.

30. Final Recommendation

Proceed to a controlled Ethiopia-specific pilot only after the credit/funding/legal model is validated. The strongest reason for this platform to exist is not that Ethiopia lacks wallets or BNPL; it is that those services do not automatically create one interoperable, small-merchant-friendly installment experience across local commerce.

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Supports: Ethiopian personal-data protection framework.
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Supports: Interoperable QR design direction for merchant payments and limitations of closed-loop QR.
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<https://developer.ethiotelcom.et/docs/GettingStarted>
Supports: Publicly documented Telebirr business integration categories including C2B, B2B, H5, Mini App and subscription payment.
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Supports: Public create-order, checkout, query/status, callback and refund integration documentation.
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